DO PROJECT EVALUATIONS CORRELATE WITH THE PERFORMANCE OF PROGRAMS OVER TIME? AN ANALYSIS OF WORLD BANK HEALTH AND EDUCATION PROJECTS, 2000-2010

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ABSTRACT

Despite a rise in international development project evaluations, there is little evidence that their findings influence the design of later projects. *Methods:* I use data from 445 World Bank health and education projects from between 2000 and 2010 to identify whether the performance of past projects predict the outcomes of later, closely-related (sharing a sector and sub-sector classification) projects. For each project, I calculate the average rating of all closely-related projects launched in the five years preceding its own approval. I use ordinary least squares regressions with project- and country-level characteristics as control variables to identify whether the previous five-year average has any significant correlation with the later projects' performance. *Results:* The five-year average performance of past, closely-related projects is not significantly associated with project outcomes (p-value of 0.845). Rather, the main effects came from project approval year, various project supervision and quality control characteristics, primary school enrollment rates in the country and year of the project, and other project- and country-specific characteristics. *Conclusion*: This finding implies inadequate learning from evaluation results, as learning ought to result in improved performance over time, with every additional point of improved past performance being associated with improved later project performance. I recommend better communication between the World Bank's International Evaluation Group and project design teams, improved data collection, and further research.

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INTRODUCTION

Over the past two decades, it has increasingly become standard practice for international development program funders to require program evaluations be conducted at the close of each project. At first glance, this seems logical: understanding which programs were successful in meeting their stated objectives and how they could have been improved can help program designers ensure future programs are set up for success.

However, there is insufficient evidence that findings from these evaluations have any significant influence on future program design, structure, or success. To better understand this phenomenon, I use this paper to analyze whether a correlation exists between a program's evaluation result and the success of future, closely related projects.

To do this, I focus specifically on programs and projects funded by one of the largest development program funders in the world: the World Bank. All evaluations I consider are project-level evaluations conducted by the World Bank Group's Independent Evaluation Group (IEG). The IEG is an independent arm within the World Bank that focuses on gathering knowledge from the successes and failures of projects in order to influence the design of future projects. I focus on projects launched in or after 2000, as a greater amount of documentation is readily accessible on these projects.

I also include only projects in the health and/or education sectors. As the two sectors with the largest budgets within the World Bank, they have a large number of projects with a significant amount of information readily available. This allows for a more robust and thorough assessment of the evaluation results and their links with program change.

All health and education projects belong to a number of subsectors that span a variety of areas, from agriculture to the environment to tuberculosis. I consider projects to be closely related if they fit into the same subsets of sectors. The IEG evaluations I consider were conducted at the close of the project; therefore, this paper assesses whether and to what extent an evaluation outcome correlates with future programs' success.

My analysis shows no significant relationship between how past projects performed and the rating of later, related projects. While the model shows that a one-point increase in past project performance is associated with a 0.0665 point increase in the performance of later projects, the p-value is 0.845 and not significant at any level of confidence. Rather, project- and country-level characteristics serve as the best predictors of project performance.

In this thesis, I next provide further background on the issue and review the existing literature on the determinants of project success. From there, I describe the model I use to test my hypothesis regarding this correlation and delve into more detail on the specific data and methods I used. I then present my findings, discuss their implications, and end with some closing thoughts on what the findings mean for policymakers.

BACKGROUND AND LITERATURE REVIEW

In this section, I aim to provide an introduction to the role of evaluations in international development and to assess some of their shortcomings. I analyze the literature on the goals of project evaluation and how they often fall short of these goals in practice, on issues specific to the IEG, and on drivers of development project success (especially with regards to the World Bank's projects).

Introduction to Project Evaluation

The number of project evaluations conducted at the close of international development projects has risen sharply over the past decade. Cameron et al. review 2,259 evaluation studies published since 1981 and find that the number of evaluations increased most substantially after 2008. Indeed, between 2008 and 2009, the number of published evaluations increased by 63 percent (from 173 to 274) and continued to rise steadily to more than 350 in 2012 (Cameron et al., 2016).

In his testimony before the United States Congress, Dean Karlan explains that project evaluations (and especially impact evaluations) are essential for informing future project and policy design and for holding project implementers accountable to quality. Nevertheless, he goes on to explain, striking a balance between competing priorities of generating evidence on what worked well and what did not and providing accountability for the project being evaluated can be challenging. He argues that different methods are required for fulfilling each of the two goals, and that evaluators often fail to clearly specify their objective(s) (Karlan, 2015). In this thesis, I am most focused on the former aspect of whether project evaluations generate sufficient evidence for future project design.

The work of Laura Metzger and Isabel Guenther supports Karlan's argument that evaluations are often unsuccessful in their goal of accurately conveying project success. In their study of 150 projects focused on the supply of drinking water across 62 countries, Metzger and Guenther found that the actual evaluations had little correlation with project performance outcomes when using indicators such as change in population having access to water supply and change in water consumption (Metzger and Guenther, 2015). Similarly, Alejandro Ganimian explains that randomized control trials (RCTs) conducted on smaller pilot projects cannot (and should not) always be used as a final determinant as to what types of projects succeed. Many projects may be conducted on small samples or else may merely challenge conventional notions on what works without providing evidence on what should be done instead (Ganimian, 2017).

Given these challenges, many researchers evaluate the evaluations themselves. Marc Blanc et al. note that IEG ratings often focus on a project's performance at the end of its lifespan, rather than assessing the project from start to finish. Many projects that were headed towards a "moderately satisfactory" rating were often downgraded at completion to "moderately unsatisfactory" due to issues that occurred too late to be addressed (Blanc et al., 2016).

Meanwhile, Kusek and Rist examine specific developing country contexts in which evaluations are conducted to understand any relationships between specific characteristics and the success of a project evaluation. They found that many developing countries have little history or experience with performance-based monitoring and evaluation (M&E) that, combined with weak institutional capacity, can impede both the implementation of results-based M&E systems and the use of evaluation findings in future policy design (Kusek and Rist, 2004).

Project Evaluations at the World Bank Group

Many of the challenges and shortcomings that apply to international development project evaluations as a whole also apply to evaluations conducted by the IEG. Tasked with evaluating World Bank projects, the IEG strives to provide project designers with evidence that can help improve future project design. In a 2012 report on its relevance and effectiveness, the IEG notes that its role in producing evidence is essential for helping World Bank project designers ensure that future projects are successful. Impact evaluations on conditional cash transfers, land titling, microcredit repayment, and other areas have directly contributed essential evidence for the World Bank and the development community at large (IEG, 2012).

However, its earlier 2011 self-evaluation assessing the IEG's structure and organizational effectiveness is less positive, explaining that, "there is clearly a potential to increase IEG's impact on the World Bank Group" (IEG, 2011). The report specifically notes that the IEG needs to better ensure that its evaluation recommendations regularly inform the World Bank's project design efforts (IEG, 2011). Johannes Linn, an external peer reviewer of this self-evaluation, generally agrees with these findings but also states that the self-evaluation should have focused on six additional areas. Among these is providing more evidence on whether the World Bank has used the experiences with previous projects to improve scale-up or reproduction. This, he argues, is essential for ensuring project expansion is evidence-based (Linn, 2012).

In 2015, following a restructuring of the World Bank, an independent panel conducted an external review of the IEG. Its report emphasizes many of the shortcomings outlined in the IEG's own 2011 report, noting that, "We found many ways in which IEG and its relationships and related processes within this system could be improved to substantially strengthen its essential contributions to learning and accountability. Many parts of this system are broken. […] We find that the WBG needs an overarching evaluation policy and stronger [Committee on Development Effectiveness] oversight of IEG to enhance learning and accountability” (Independent Panel, 2015).

In its 2015 annual review, the IEG mentions information-sharing as an area that needs further strengthening and notes that the findings of the independent panel will be used to improve IEG evaluation work going forward (IEG, 2015). In 2016, the IEG released its 2017 work program, in which it again mentions the recommendations of the independent panel. Specifically, the IEG aims to redesign how it works with technical operational units and to upgrade knowledge management practices by moving away from its traditional report format to evaluations that are more user-friendly and provide critical information more readily (IEG, 2016). The extent to which this redesign has facilitated better information-sharing is not known as of November 2017.

Another challenge with using IEG evaluations to inform project design has been the lack of cost-benefit analysis (CBA) in recent years. Traditionally, the IEG has specialized in CBA, and the findings of CBAs have influenced whether projects were continued (or new, similar projects designed). A 2010 IEG report finds that reduced adherence to standards is a critical driver for the decline in the use of CBAs. Additionally, applying CBA to specific projects is found to often be difficult due to the project’s design or nature, and even when it is feasible, the analysis is inadequate or low-quality. Data collection issues play a role in this, as lack of relevant data hinders the ability of the IEG to conduct a robust CBA. Finally, in cases when a CBA would have been helpful in determining whether to proceed with a project, too often the World Bank would only consider the CBA after deciding the project would be implemented. The IEG goes on